HARBORVIEW SECURITIES LLC - INTERNAL

Deal Lessons Learned - Confidential Internal Reference Memo

To: Leveraged Finance and Acquisition Finance Deal Teams

From: Deal Review Committee

Date: April 30, 2026

Re: Lessons Learned - Colville Specialty Packaging / Anders Container Group (closed February 2024)

Circulated for reference only. This memo discusses a prior, unrelated transaction in the specialty packaging sector; it is not part of, and has no bearing on, any current engagement.

Background

In February 2024, a sponsor-backed acquisition vehicle completed the purchase of Anders Container Group, a privately held manufacturer of rigid plastic packaging for the food and beverage industry, from its founding family, in a transaction advised on the sell side by a different firm and on the buy side by this firm's Consumer & Industrials team. This memo is unrelated to any current live engagement and is circulated solely for the process lessons it illustrates.

The transaction used a completion-accounts purchase-price mechanism broadly similar in structure to other completion-accounts deals this firm has advised on, with a working capital peg set against a trailing 12-month average and a post-closing true-up period of 90 days.

What Went Well

The deal team's early engagement of an independent accounting firm to pressure-test the target's proposed working capital peg - before the letter of intent was signed, rather than after - meaningfully reduced post-signing friction over the true-up calculation. By the time the SPA was negotiated, both sides had already effectively agreed the peg methodology, leaving only the mechanical true-up to resolve at closing.

The buy side also benefited from having negotiated a clear, itemized accounting-principles hierarchy in the purchase agreement (GAAP as consistently applied, then the target's historical practice, then a specifically negotiated exception list), which avoided a dispute that arose on a comparable transaction this firm advised on the same year, where the hierarchy was left ambiguous and the parties spent several additional weeks in the independent accountant process as a result.

What Could Have Gone Better

The financing workstream underestimated the time required to obtain lender consent to a change-of-control provision in the target's existing equipment financing facility, which was not itself an indenture but a smaller bilateral facility with a regional lender. The consent process took nearly six weeks longer than the financing team's original estimate, compressing the back end of the closing timeline and requiring an extension of the outside date under the purchase agreement.

The lesson the Deal Review Committee flagged for future transactions: identify every facility with a change-of-control or assignment consent requirement at the outset of diligence, not merely the target's primary credit facility, and build lender consent timelines into the critical path explicitly rather than assuming they will run in parallel with other closing conditions without incident.

Financing Structure

The acquisition was financed with a combination of a new senior secured term loan, rollover equity from certain members of the founding family, and cash equity from the sponsor's fund. The sponsor's diligence team spent considerable effort reconciling the target's own internally reported EBITDA to a covenant-defined EBITDA basis for the new term loan, since the two differed on the treatment of certain non-recurring integration and relocation costs the target had historically added back in its own management reporting but which the new lender group was only willing to accept subject to a cap.

The rollover equity component required a separate, and at times protracted, negotiation over the founding family's post-closing governance rights, since several family members remained in operating

roles post-closing. The Deal Review Committee noted that resolving the scope of those governance rights earlier in the process, rather than leaving it to the final weeks before signing, would likely have shortened the overall negotiation timeline by two to three weeks.

Integration Lessons

Post-closing integration planning began in earnest only after signing, which the operating team involved in the post-closing 100-day plan flagged as later than ideal; several system integration decisions (particularly the choice of a unified enterprise resource planning platform) could have been scoped during the diligence period itself, shortening the time to realize the identified cost synergies.

The Deal Review Committee's broader observation, applicable beyond this specific transaction, is that sponsors who begin integration planning workstreams in parallel with, rather than strictly after, signing consistently report faster realization of run-rate cost synergies in the first four fiscal quarters post-closing, even accounting for the additional diligence-period cost of standing up an integration planning team before certainty of closing exists.

Comparison to a Second Precedent Deal

For context, the Committee compared this transaction's working capital and financing-consent experience to a second, separately advised transaction in the industrial distribution sector that closed roughly a year earlier. That transaction used a locked-box mechanism rather than completion accounts, which eliminated the true-up dispute risk entirely but required materially more diligence effort up front to agree the locked-box date and the leakage definition, since the parties had no post-closing true-up process available to correct an error discovered after signing.

The Committee's cross-deal observation is that the choice between a locked-box and completion-accounts mechanism is best made early, and explicitly, based on how much confidence the buy side has in the quality and timeliness of the target's own management accounts - a completion-accounts mechanism is more forgiving of imperfect management accounts, while a locked-box mechanism shifts nearly all of that risk to the diligence period, where it can still be identified and priced before signing rather than disputed after.

Advisory Fee and Process Learnings

The engagement letter for this transaction used a standard success-fee structure with a smaller announcement fee payable on signing, consistent with this firm's usual fee convention for sell-side engagements of this size. The Committee noted no unusual fee disputes on this transaction, in contrast to a separate, unrelated engagement reviewed at the same Committee meeting where an ambiguous definition of "Transaction" in the engagement letter led to a disagreement over whether a fee was payable on a structure that ultimately closed as an asset sale rather than the stock sale originally contemplated when the engagement letter was signed.

The Committee's standing recommendation, reaffirmed at this meeting, is that every engagement letter's definition of "Transaction" be drafted broadly enough to cover a change in deal structure between signing of the engagement letter and signing of the definitive agreement, since deal structure not infrequently changes over the course of negotiation for tax, financing or other reasons unrelated to the advisor's own work.

Regulatory and Antitrust Notes

The transaction did not require a Hart-Scott-Rodino filing given the size of the transaction relative to the then-current filing thresholds, which simplified the closing timeline relative to several other transactions this firm has advised on in adjacent packaging and industrial sub-sectors where a filing was required. The deal team noted that the absence of a filing requirement should not be assumed on future transactions of a similar nominal size, since the applicable thresholds are adjusted annually and had in fact increased modestly in the twelve months prior to this transaction's signing.

No state-level antitrust or foreign investment review issues arose on this transaction, as both the buyer and the target were domestic, privately held entities with no foreign ownership component. The

Committee noted this as a point of contrast with a separate transaction reviewed earlier in the year, where a minority foreign investor in the acquiring sponsor's fund triggered a Committee on Foreign Investment in the United States review that added several weeks to that transaction's closing timeline. The Committee recommended that the deal team's initial diligence checklist for future engagements include an explicit prompt to confirm the ownership structure of the acquiring vehicle's fund investors early in the process, rather than assuming a foreign investment review is inapplicable simply because the buyer entity itself is domestically organized.

The Committee also noted, for completeness, that no state attorney general inquiry arose on this transaction, consistent with the generally lower level of state-level antitrust scrutiny applied to packaging-sector combinations relative to, for example, the healthcare and grocery combinations discussed in separate Committee reviews this year.

This memo has been reviewed and approved for internal circulation by the Deal Review Committee chair. Questions specific to the underlying deal file should continue to be directed to the Consumer & Industrials team's deal library rather than to this Committee.

Process Takeaways for Future Deal Teams

1. Engage an independent accountant on the working capital peg methodology before signing, not after, wherever the timeline allows.

2. Negotiate a specific, itemized accounting-principles hierarchy in the purchase agreement rather than a general "GAAP consistently applied" clause alone.

3. Map every financing facility with a change-of-control or assignment consent requirement at the outset of diligence, and build consent timelines explicitly into the closing critical path.

4. Revisit the outside date assumption as soon as any consent process is identified as running behind the original estimate, rather than waiting until the scheduled closing date is imminent.

This memo reflects the Deal Review Committee's own retrospective assessment and does not constitute legal or accounting advice applicable to any other transaction. Questions on the underlying deal file should be directed to the Consumer & Industrials team's deal library.